

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-01

**Visual Comfort & Co.
v.
COSCO Shipping Lines Co. Ltd.**

**RESPONSE OF COSCO SHIPPING LINES CO. LTD. TO COMPLAINANT VISUAL
COMFORT & CO'S MOTION TO COMPEL DISCOVERY**

Respondent COSCO Shipping Lines Co. Ltd. (Respondent or COSCO), through its undersigned counsel, submits this response to the June 1, 2024 Motion to Compel (Motion) filed by Complainant Visual Comfort & Co. ("VCC" or "Complainant"). Before doing so, however, we need to clear up the confusion caused by VCC's inaccurate and likely misleading Response to COSCO's Motions to Compel Production of Documents and Responses to Requests for Admissions and Interrogatories, filed yesterday evening.¹

VCC's Misleading Response

At 8:23 p.m. last night, Complainant filed with the Commission and served on Respondent its responses to Complainant's two motions to compel (one relating to documents, the other two interrogatories and requests for admission). In those filings, Complainant makes the untenable and untrue claim that Respondent's Motions to Compel have been rendered moot due to Complainant's actions after the motions were filed.

Complainant thus argues that Respondent's Motions to Compel should be regarded as moot because Complainant has produced additional responses to Respondent's discovery

¹ We would normally address this matter separately, but in this unusual circumstance, we set it forth here, to reduce the number of filings and pages the Presiding Officer must review.

requests since COSCO's Motions to Compel were filed. In this respect, the response asserts that VCC has "adequately responded to all of Respondent's requests, without undue objection . . ." Opp Motion at 2.

As Complainant's Counsel should know, this statement is utterly false, and appears designed to mislead the Presiding Officer. Complainant's Counsel did not confer with Respondent before making this statement. If she had, she would know that Respondent considers the supplemental responses to be patently inadequate. Among other things, Complainant has produced **no** responses to Respondent's Requests for Documents 6,7, or 10 (or 5, although it has agreed to do so, so we defer for now). Most of the other new responses are paltry and far from adequate. Complainant has by its misleading claims entirely obscured the status of Respondent's requests and Complainant's responses, which might even require a new round of briefing to sort out.

Respondent did note that it would withdraw any portions of its motions to compel that were rendered moot by new responses from VCC. Unfortunately, nothing in Complainant's new responses alleviated any of the matters raised by Respondent in its motions to compel. Without prompt production of necessary documents and adequate responses to interrogatories and requests for information, COSCO cannot defend itself and may need to move for dismissal based on failure to prosecute.

As just one example of the gross deficiencies in Complainant's responses, we note that, before last night, (Confidential VCC000058-VC000088), Complainants had not produced a single document pertaining to any particular shipment as to which it claims reparations, despite the fact, acknowledged by the Presiding Officer, that claims for unreasonable practices must be addressed on a shipment-by-shipment, day-by-day basis.

Last night's production by Complainant did, for the first time, include a few documents relevant to only **five** of the many shipments Complainant purports to challenge, as identified in the margin.² Unless VCC is willing to withdraw its claims as to all shipments other than those five, COSCO needs, and remains entitled to, prompt production of full documentation respecting the remaining shipments.³

Response to Complainant's Motion to Compel

COSCO hereby responds to VCC's Motion to Compel Production of Documents from COSCO ("Motion"). As set out below, the Motion is entirely without merit. But more immediately, VCC's request for relief is procedurally deficient.

1. VCC's Motion Was Not Timely Filed.

VCC's Motion should not be considered by the Presiding Officer because VCC failed to adhere to the instructions of the Interim Scheduling Order established by the Presiding Officer in this proceeding issued on May 16, 2024, in the Status Conference held on May 16, 2024. There, the Presiding Officer made clear that because she intended to issue a final scheduling order on May 31, 2024, the Parties were to file any Motions to Compel by Friday, May 31, 2024. However, Complainant did not file its Motion to Compel Production of Documents until Saturday, June 1, 2024.

Although VCC's Motion is thus untimely filed and must be considered for this

² COSCO Invoice HOU00284955 (USD1025.00)(Bates Number VCC000063)
COSCO Invoice HOU00280888 (USD125.00)(Bates Number VCC0 00073)
COSCO Invoice HOU00279998 (USD305.00)(Bates Number VCC000075)
COSCO Invoice HOU00276516 (USD790.00)(Bates Number VCC000076)
COSCO Invoice HOU00274088 (USD805.00)(Bates Number VCC000078)

³ As of this filing, VCC has not produced a **list** identifying by COSCO bill of lading the shipments included in its claim. Information about RIM's bill of lading, which is all Respondent has received thus far, does not provide the information necessary for COSCO to search its own records.

procedural defect, the Motion is in any event deficient as a matter of substance as well, as discussed below.

2. **Substantive Response to VCC's Motion.**

a. **Chronology.**

On March 27, 2024, both parties exchanged Initial Discovery requests. On April 15, 2024, VCC served its Second Set of Discovery Requests to COSCO. As required by the Commission's rules, COSCO served its First Responses and Objections to Complainant's Initial Discovery Request (Requests for Documents) on April 26, 2022. On May 23, 2024, COSCO served its Notice of Deficiencies on VCC, to which VCC responded on May 30, the same day.

COSCO produced its first set of documents responsive to VCCs First Discovery Requests and to VCC's Second Set of Discovery Requests. Also on May 30, 2024, COSCO filed and served its first Motion to Compel Responses to Respondent's First Discovery Requests.

On May 31, 2024, VCC served its supplemental responses to COSCOs first set of discovery requests.

On June 3, 2024, COSCO produced an additional set of documents, and VCC produced its first set of documents in response to Respondent's Initial Discovery Requests.

b. **VCC's Motion is Substantively Deficient.**

Although there is no reason for the Presiding Officer to reach the merits of VCC's untimely filed Motion, if she chooses to do so nevertheless, the Motion should also be denied on the merits. We address VCC's Motion *seriatim* below, according to VCC's own organization.

c. **COSCO's Responses to VCC Motion to Compel Responses to Requests for Production of Documents 4, 5, 6, Suppl. RFD 1, Suppl. RFD 3, Suppl. RFD 4, and Suppl. RFD 5.**

VCC's RFD4 requests "all service contracts and other agreements during the relevant time period between Respondent and the parties identified in Respondent's Initial Disclosures. As an initial matter, because VCC has an assignment of claims only from RIM, agreements with other parties are necessarily irrelevant, as VCC has no standing to make any other claims. With respect to the service contract between COSCO and RIM, COSCO is precluded from producing it due to a confidentiality provision, unless and until the Presiding Officer issues an order requiring it to do so. COSCO stands ready to produce the document upon issuance of such an order.

VCC's RFD5 seeks "all receipts issued to any third parties who forwarded detention, demurrage, and storage payments from Complainant during the relevant time period." COSCO previously stated and states again that after checking its database, no such receipts exist as every receipt issued by COSCO was to an entity liable directly to COSCO. While VCC reiterated that it is not requesting information as it relates to "what Complainant may or may not have paid third parties" but rather, what third parties paid COSCO for detention, demurrage, and storage payments, COSCO objects to this clarified request as unduly burdensome, as it seeks all such receipts that COSCO issued to all third parties that paid detention, demurrage, and storage payments without limitation.

While VCC explains that the request is "not requesting information related to what Complainant may or may not have paid third parties" that is exactly what RFD5 called for: receipts issued to third parties who *forwarded payments from Complainants*. How can COSCO tell whether RIM (the only relevant remaining third party) did or did not "forward payments from VCC" as only VCC and RIM know the answer to that question.

Nevertheless, as VCC has now clarified that it is not requesting this information and has re-phrased RFD5 in its Motion to Compel as, “what third parties [RIM] paid COSCO for demurrage, detention, and storage payments.” VCC Motion at 3. We assume that the term “payments” is a mistake, and VCC means to say “charges.” Again, COSCO understands RFD5 as rephrased by VCC, but re-iterates that RIM had many customers who were not VCC, and that it is difficult for COSCO to determine which charges invoiced to RIM were for VCC’s cargo because VCC was not COSCO’s customer.

COSCO produced documents in response to VCCs RFD6 on May 30, 2024. COSCO nevertheless continues to object to RFD6 as overly broad and unduly burdensome and reiterates its request that VCC clarify specifically what correspondence it seeks and from which specific parties. Similarly, as COSCO has explained to VCC on numerous occasions, it is very difficult for COSCO to identify which RIM shipments contained VCC’s cargo, as VCC was not COSCO’s customer.

Supplemental RFD1 asks Respondent to, “Produce Respondent’s monthly demurrage, detention, per diem, and yard storage income for the years 2019 through 2023.” COSCO objects to the production request as it is irrelevant to Respondent’s claim that COSCO violated 46 USC 41104(c). As Chief ALJ Wirth recently held in *Marine Transport Logistics, Ltd. v. CMA CGM, S.A.*, 2024 WL 474879, at *8, VCC, like Complainant in FMC Docket No. 22-23, “does not explain how [...] revenue from demurrage, detention, or storage charges is relevant to the alleged Shipping Act violation or [Complainant’s] actual injury” and on that basis, denied the Complainant’s request to compel the production of such documents. *Id.* Nor has VCC explained why it requires information that long pre-dates the relevant period of the claim, i.e., 2021-2022. The requests should therefore be denied as irrelevant.

Furthermore, Supplemental RFD1 would be unduly burdensome for Respondent to produce. If the Presiding Officer determines nevertheless that Supplemental RFD1 is relevant to VCC's claims, it requests that the production of such information be required only on a quarterly basis for the time period of the claim, i.e., 8 quarterly periods, Q12021-Q42022 (by quarter).

Supplemental RFD3 requests "...Respondent's monthly demurrage, detention, per diem, and yard storage income from shipments that contained Complainant's products for the years 2019 through 2023, including overall load and capacity information for relevant eastbound voyages." COSCO's objection to Supplemental RFD3, much like Supplemental RFD1, is that the request is irrelevant and unduly burdensome, and VCC has not explained why RFD3 is relevant to VCC's claims.

There is no basis for VCC to assert that any violation of the Shipping Act can be based on "excessive fees" as the Federal Maritime Commission has no authority to regulate rates or charges *per se*. And whether the imposition of a particular fee or charge for demurrage or detention was unreasonable, it has nothing to do with the level of that charge. Rather, as the Commission has clearly stated, was it reasonable for the carrier to impose the fee to incentivize the prompt removal of the cargo or return of the equipment.

Further, again as with Supplemental RFD1, the request is incredibly burdensome. How does VCC expect COSCO to determine "income from shipments that contained Complainant's products" when VCC was not even COSCO's customer?

And finally, similar to Supplemental RFD1, VCC does not address much less explain why it requires such expansive information from 2019 to 2023, three full years outside the Relevant Period of the claim (2021-2022).

VCC's Supplemental RFD4 requests "...Respondent's total annual revenue from

shipments that contained Complainant's products for the years 2019 through 2023, including overall load and capacity information for relevant eastbound voyages." Similar to Supplemental RFDs 1 and 3, VCC has not explained why this request is relevant and not unduly burdensome. Supplemental RFD4 is not "narrowly tailored" but requires COSCO to magically ascertain what part of its revenues can be attributed solely to VCC's shipments (again, VCC was not COSCO's customer). Rather, Supplemental RFD 4 is broad both temporally (2019-2023) and outside the Relevant Period of the claim as well as unclear as it nowhere defines the term "revenue." Nor does VCC explain why COSCO's revenue is in any way relevant to VCC's claims that COSCO violated the Shipping Act which contains no price-caps or revenue tests. There is simply no rationale for VCC to demand this information, and it has articulated none. Additionally, Supplemental RFD4's request for "overall load and capacity information for relevant eastbound voyages" is not only vague, but also irrelevant to VCC's claims. VCC has not instructed COSCO on how it might even begin to identify what would be the "relevant eastbound voyages" nor has it articulated why overall load and capacity information on any of COSCO's voyages is relevant.

Despite its objections, COSCO produced documents on May 30, 2024 (Bates Numbers COSCO_000001-COSCO_000018), which COSCO could only locate with a great level of effort and difficulty, as explained above, because VCC was not its customer. VCC has stated only that this production was "insufficient" but provided no further information. COSCO will continue to produce responsive documents to VCC's relevant requests, as it is able to locate them, but COSCO reiterates the difficulty of this task.

COSCO made a Second Production of Documents on June 3, 2024 (Bates Numbers COSCO_000019-000099). As COSCO continues to explain to VCC, it is nearly impossible to ascertain which RIM shipments were those of VCC, because VCC was not COSCO's

customer and RIM had other customers served by COSCO.

ARGUMENT

VCC's assertion in its Motion to Compel that "COSCO has not objected to any of the document requests on grounds of relevance (or lack thereof) or burden." is patently false, as the Presiding Officer can clearly ascertain from the Attachment. As the proponent of a motion to compel discovery, VCC bears the "initial burden of proving that the information sought is relevant." *Alexander v. FBI*, 186 F.R.D. 154, 159 (D.D.C. 1999). Here, VCC has utterly failed to even begin bearing that burden. VCC has instead proffered only vague, unsupported claims that its requests are relevant or not unduly burdensome. In any event, as discussed at the outset, VCC's Motion is plainly procedurally deficient.

CONCLUSION

For the reasons given above, VCC's Motion to Compel should be denied as untimely filed and otherwise without merit.

DATED: June 7, 2024

Respectfully submitted,

/s/ Rebecca A. Fenneman

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CERTIFICATE OF SERVICE

I certify that on the 7th day of June, 2024, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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